

financial conditions. According to RBI data, the central bank has spent \$77 billion in foreign exchange reserves to prevent excessive depreciation. Consequently, India's forex reserves fell from \$701.18 billion on October 4, 2024, to \$630.61 billion by January 31, 2025. (See Graphic: Forex Worry)

However, former RBI Governor and Katherine Dusak Miller Distinguished Service Professor of Finance at Chicago Booth, Raghuram Rajan, has cautioned against excessive intervention. Speaking to *BT* at Davos, Rajan argued that defending a fixed exchange rate could lead to rapid depletion of forex reserves without delivering long-term benefits. "I don't think we should hold the rupee at a level that is unsustainable. That just means wasting our foreign exchange reserves, and we will need it at some point if things become more difficult in the global economy. So, I would say do what the RBI has always been doing, which is focus on reducing volatility. But don't try and determine what the level is."

Madan Sabnavis, chief economist, Bank of Baroda echoes similar concerns. "The problem is that if you keep selling, how much can you sell, especially if it's being caused by an external factor like the dollar strengthening. I can keep selling dollars, today it will stabilise. Tomorrow again, it will start falling. How much can the RBI sell?"

At the same time, if the RBI remains passive, markets could interpret this as a signal that the central bank is comfortable with a weaker rupee. "If I'm an exporter, I might delay converting my earnings, expecting a better exchange rate later. If I'm an importer, I'll rush to buy more dollars, increasing demand and pushing the rupee down further," Sabnavis explains. "The RBI has to strike a fine balance."

Rao of DBS Bank says the authorities are likely to step in to limit sharp fluctuations but not to reverse the trend. "The central bank had adopted a strategy of building FX reserves during periods of strong foreign inflows, which saw the stock reach a record high in Q4 2024. At present, reserves remain well-cushioned, ranking favourably against most vulnerability indicators, including import coverage and our proprietary gross external financing ratio," she says.

Sahay of Standard Chartered also says the bank believes the RBI should allow the rupee to be the shock absorber in case of increased external sector volatility. "The import cover with RBI at about 9.7 months is robust and assuring. We think increased tolerance towards stronger USD along with few measures like FX buy-sell swap are likely to help. If the need arises, a separate window for oil importers can be introduced to manage their USD demand," she says.



AJAY SAHAI
DIRECTOR GENERAL
AND CEO, FEDERATION
OF INDIAN EXPORT
ORGANISATIONS

"While the rupee's depreciation has helped exports to some extent... we must remember that India also imports a large number of items and a fall in the rupee impacts the import bill"



RADHIKA RAO
EXECUTIVE DIRECTOR
AND SENIOR
ECONOMIST, DBS BANK

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The rupee's performance will depend on the US economy and its trade policies. Factors such as US Federal Reserve's policies, global trade conditions, and capital flows will continue to influence its trajectory. That is true for most countries around the world. With Trump in office for nearly two months now and providing a glimpse of his policy agenda, no one is sure if the worst is behind us or if it is just the beginning of a new era of volatility.

Though the RBI aims to curb excessive fluctuations, it may have to allow the rupee to adjust gradually in line with global market conditions. The coming months will test the central bank's ability to navigate these competing pressures. **BT**

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